NISM SERIES XVII · JULY 2026 WORKBOOK · STUDY NOTES

Retirement Adviser

Turn a salary into a lifelong pay-cheque: the PFRDA licence to advise on NPS and retirement.

Retirement is the one goal you cannot take a loan for, so someone has to help people save enough, invest it sensibly and then turn the pile into a monthly income that lasts as long as they do. A Retirement Adviser is that guide: think of a mountain guide who gets you up the hill (accumulation) and, just as importantly, safely down the other side (distribution). PFRDA, which regulates the National Pension System, requires every registered Retirement Adviser (and the key people of adviser firms) to pass this NISM exam, so that anyone giving NPS or pension advice knows the products, the maths and the rules.

📋 Exam pattern

100	120 min	60%	25% of the marks assigned to the question (0.25 mark per wrong answer)
Total marks	Duration	Pass mark	Negative marking

100 multiple choice questions · Test centre workstations have MS-Excel or LibreOffice, so be fluent with FV, PV, PMT, RATE and XIRR for numericals. Syllabus weights: Unit 4 NPS 20%, Unit 3 Retirement Planning Process 15%, Unit 7 Strategies 12%, Units 2/5/8/9 10% each, Unit 6 8%, Unit 1 5%.

👥 Who needs it

- Individual Retirement Advisers registering with PFRDA under the PFRDA (Retirement Adviser) Regulations, 2016
- Key personnel of non-individual Retirement Advisers (partnership firms, body corporates, trusts/societies)
- Representatives and partners of a Retirement Adviser (the RA must ensure they meet the certification requirement at all times)
- Anyone (PoP staff, MF/insurance distributors, planners) who wants a recognised credential in NPS and retirement planning

🧭 Exam strategy

- Time budget: 120 minutes for 100 questions. Do a first pass of about 70 minutes answering every sure question, then 35 minutes for numericals and 15 minutes for review.
- Negative marking is 0.25 per wrong answer: guess only when you can eliminate at least two options (expected value turns positive once you are down to 2–3 choices).
- Chapter 4 (NPS, 20%) plus Chapter 3 (15%) and Chapter 7 (12%) are nearly half the paper, so master them first.
- Keep Excel open for numericals: FV/PV/PMT with Rate = annual/12, Nper in months, Type 1 for beginning-of-month withdrawals in corpus questions.
- For corpus questions always convert to the real rate with (1+r)/(1+i) – 1 before discounting the inflated income.
- Watch the qualifiers: Govt vs Non-Govt, normal vs premature exit, old vs new tax regime, Tier I vs Tier II, before vs after 60.
- On 'which is NOT' questions, read every option against the rule; the workbook's 2025–26 changes (80:20 exit, ₹8/12 lakh slabs, PoP 0.20% AUM, RA ₹400 + 0.02%) are favourite traps against older rules.
- For RA regulation questions, remember the core trio: fiduciary, paid only by the subscriber, never handles cash.



Chapter 1 · Weight: 5%

Fundamental Concepts in Retirement Planning

Why retirement needs a plan at all: people live longer, families are nuclear and pensions have moved from employer promises (Defined Benefit) to market-linked pots (Defined Contribution). It also sets up the maths: inflation, time value of money, real returns and compounding.

> **MAKE IT STICK**
> Mr X spends ₹20,000 a month today. At 5% inflation he will need about ₹25,526 a month in 5 years for the same life. But he does not need to park ₹25,526 today: at 8% post-tax, ₹17,372 invested now grows to it. Inflation pushes the goal up, compounding pulls the saving down.

1. Share of Indians aged 60+ expected to rise from 8.4% (2011) to 14.9% (2036); life expectancy at birth rose from 58 (1990) to 72 years (2024).
2. Defined Benefit (DB): pension known in advance, usually a function of last drawn salary and years of service. DB can be funded (corpus built) or unfunded/pay-as-you-go, like the Old Pension Scheme (50% of last drawn salary + DR) for government staff who joined before 1 Jan 2004.
3. Defined Contribution (DC): contribution is defined, benefit depends on the corpus built. Longevity risk and investment risk move from employer to employee.
4. Project OASIS (S.A. Dave committee, 1998; report 2000) recommended moving from unfunded DB to funded DC with individual portable accounts and competing fund managers.

5 The Statement of Transaction (SoT) is the key document a DC subscriber uses to review contributions, units, NAV and corpus.

6 Longevity risk = risk of outliving retirement assets. A deferred annuity bought at 65 that pays from 85 is one hedge.

7 Time value of money: PV = FV/(1+r)^n. Real return ≈ nominal minus inflation; exact real return = (1+nominal)/(1+inflation) – 1, so 10% nominal with 5% inflation gives 4.76%.

8 Nominal return is always positive; real return can be negative when inflation exceeds the nominal rate.

9 Compounding is stronger with a longer period, a higher rate and more frequent compounding (₹5,000 a month beats ₹60,000 a year).

10 Retirement is the one goal that cannot be funded by a loan, so it must get top priority in allocating savings. It is long-term (accumulation of about 25–30 years, retirement of about 20–25 years) and the largest goal.

11 Starting late is expensive: for ₹1 crore at 8%, starting at 25 needs ₹4,359 a month but starting at 35 needs ₹10,515.

12 FIRE (Financial Independence, Retire Early) means saving aggressively, often 50% or more of income, to retire in one's 30s or 40s.

13 Underestimation risks come from the relevance of expense heads, the level of expenses and investment performance; fix them with periodic review.

14 Emotional side: plan hobbies and interests by the mid-40s, build a social circle outside work and prioritise health.

Exact real return
(1+NR)/(1+IR) – 1

Old Pension Scheme
50% of last drawn salary; govt joiners before 1 Jan 2004

Life expectancy India
58 (1990) to 72 (2024)

60+ population share
8.4% (2011) to 14.9% (2036)

Project OASIS
1998 committee, report 2000, chaired by S.A. Dave

Excel FV Type
1 = beginning of period, 0 = end

🎯 EXAM TIP
Expect DB vs DC (who bears longevity and investment risk), the exact real-return formula, and which factor increases compounding. A Box 1.3–style question that compares monthly and annual investing or starting 5 years late is common.

⚠️ TRAP
Real return is not simply nominal minus inflation when the question asks for the precise or effective rate. Use (1.10/1.05) – 1 = 4.76%, not 5%.



Chapter 2 · Weight: 10%

Financial Markets and Investment Products

A tour of asset classes (equity, debt, cash, real estate, gold), their risks and returns, asset allocation (strategic vs tactical) and the menu of products: G-secs, bonds, FDs, small savings, NPS, APY,

annuities, insurance, mutual funds, REITs and the new Specialised Investment Funds.

> **MAKE IT STICK**
> Think of a thali. Equity is the spicy curry that gives flavour (growth) but can burn; debt is the dal (steady income); cash is water (liquidity); gold is the pickle you reach for when everything else disappoints. Asset allocation is deciding how much of each goes on the plate.

1. Financial asset classes: equity, debt, cash. Physical: real estate, commodities. Gold returns come only from price appreciation; real estate gives rent plus appreciation.
2. Risk-return trade-off: higher expected return needs higher risk. A AAA bond pays a lower coupon than a lower-rated bond of the same tenor.
3. Investment risks: inflation (highest in fixed-return instruments), default/credit, liquidity, reinvestment, business, interest rate (bond prices move inversely to rates; higher duration means more risk) and market risk. Deposits and small savings schemes carry no market risk.
4. Only the sovereign has no credit risk. Business risk is company-specific and is reduced by diversification.
5. Strategic Asset Allocation (SAA) is long-term and goal-based, rebalanced to the original mix (for example 70:30 back to 60:40); it underperforms in a booming asset class. Tactical Asset Allocation (TAA) is short-term and market-view based.
6. G-secs: 5% of each auction is reserved for non-competitive bids; minimum ₹10,000; no cumulative option; interest fully taxable with no TDS. RBI Retail Direct (launched 12 Nov 2021) offers a free RDG account.
7. Corporate bonds have tenors of 2–15 years (5 and 7 years popular), must be credit-rated, issued in demat and listed if publicly issued. Infrastructure bonds have a 3– or 5–year lock-in and no government guarantee.
8. DICGC insures bank deposits up to ₹5 lakh per depositor per bank (same capacity), principal plus interest.
9. Small savings: PPF ₹500 to ₹1.5 lakh a year; NSC 5 years; Sukanya Samriddhi ₹250 to ₹1.5 lakh, girl aged up to 10, matures in 21 years, 50% withdrawal after 18; Gold Monetisation minimum 10 g, only the short-term (1–3 year) bank deposit since 26 Mar 2025; Mahila Samman closed for new deposits from 1 Apr 2025.
10. APY: age 18–40, pension of ₹1,000 to ₹5,000 a month from 60; income-tax payers barred since 1 Oct 2022; ₹5,000 pension costs ₹210 a month at 18 and ₹902 a month at 35. PMVVY closed on 31 Mar 2023.

11 Mutual funds: equity fund at least 65% equity; overnight funds 1 day; liquid funds up to 91 days; corporate bond fund at least 80% in corporate debt; conservative hybrid 10–25% equity; aggressive hybrid 65–80% equity; multi-asset at least 3 asset classes with at least 10% each.

12 Life Cycle Funds (MF): tenures of 5–30 years in multiples of 5; at most 6 open at a time per fund house. Gold ETF holds 99.5% purity gold; may put up to 20% in bank gold deposit schemes.

13 REIT: at least 80% in completed rent-generating assets; at least 90% of net distributable cash flow paid out at least half-yearly; initial-offer minimum ₹10,000–15,000; trading lot of 1 unit.

14 SIF: minimum ₹10 lakh per investor per AMC; unhedged shorts up to 25%; sits between MF (₹100–500), PMS (₹50 lakh) and AIF (₹1 crore).

DICGC cover **₹5 lakh per depositor per bank**	Non-competitive G-sec reservation **5% of auction**	Equity MF definition **≥65% in equity**
APY entry age **18–40 years; pension ₹1,000–5,000**	REIT payout **≥90% of NDCF, at least half-yearly**	
SIF minimum **₹10 lakh per investor per AMC**	Liquid fund maturity cap **91 days**	Senior citizen (bank FD) **Over 60 years**

🎯 EXAM TIP

Questions love matching a risk to an example (reinvestment risk to coupon bonds, liquidity risk to property or corporate bonds), SAA vs TAA, and product limits such as DICGC ₹5 lakh, PPF ₹1.5 lakh, the APY age band and REIT 80/90 rules.

⚠️ TRAP

Bank FDs and small savings schemes have NO market risk (they are not marketable), but they DO have inflation and reinvestment risk. Also, a listed bond's price falls when interest rates rise.



Chapter 3 · Weight: 15%

Retirement Planning

The full planning engine: read the client's life-cycle stage, estimate retirement income (income replacement or expense protection), inflate it, turn it into a corpus (deterministic PV method or stochastic SWR method), work out the monthly saving, then manage the pre-retirement and distribution risks and behavioural biases.

MAKE IT STICK

Rani wants ₹35,000 a month in today's money, 25 years from now, for 20 years of retirement. At 6% inflation that becomes ₹1,50,215 a month at 60. Discounted at the real rate (1.08/1.06 – 1 = 1.89%), she needs about ₹3 crore, which means about ₹15,835 a month at 12%. If she starts 5 years late, the SIP almost doubles.

1. Life-cycle allocation guide: young family 60–70% growth assets; middle earning years 50–60% growth; pre-retirement 60–70% in lower-risk products; retirement no more than 25–30% in growth assets.

2. Budget order: income → mandatory expenses (taxes, loan EMIs) → essential living expenses → discretionary. The savings ratio should rise and the expense ratio should fall over time.

3. Income replacement ratio = gross income after retirement / gross income before retirement; usually 70–90%. Steps: inflate current income by growth to retirement, then apply the ratio.

4. Expense protection method: list post-retirement expenses (drop EMI/transport, add health/leisure) and inflate to retirement. It is more cumbersome but more personal.

5. Corpus variables: periodic income needed, inflation, return on corpus and length of retirement. Higher return gives a lower corpus; higher inflation gives a higher corpus.

6. Deterministic method: one fixed return and one inflation rate; inflate expenses, then PV of an annuity-due at the real rate. It ignores sequence-of-returns risk.

7. Stochastic method: thousands of simulated paths give a Safe Withdrawal Rate (SWR), the first-year withdrawal as % of the starting corpus, then increased each year by inflation, surviving with at least 95% probability.

8. Bengen's 4% rule (1994, US data); Indian research suggests about 3–3.5% for a 30-year horizon. Corpus = annual income at retirement ÷ SWR.

9. SWR table (Indian data): the highest SWRs come at 10–30% equity, for example 30% equity over 30 years = 3.70%. More equity lowers the SWR because of sequence risk.

10. Case study: a 1994 retiree with ₹1 crore at 50:50 drawing ₹46,260 a month (5.55%) ran out in 2016, 7 years 5 months early, even though average assumptions held. This is path dependence.

11. Adjust savings for existing investments: FV of assets earmarked for the goal is deducted from the corpus needed, then calculate the PMT on the gap.

12. Pre-retirement (last 5–10 years): rebalance to safety, clear debt, right-size life cover (level-premium term), buy health cover early, test-drive the retirement budget.

13. Distribution-stage goals: fixed income for essentials, inflation protection, tax efficiency, calibrated withdrawal and longevity protection. Stagger annuity purchases to avoid locking in low rates.

14. Biases: overconfidence, familiarity, anchoring, loss-aversion inaction, herd and recency. Counter them with data, automation (SIPs), scheduled reviews and a trusted adviser.

Income replacement ratio	**Typically 70–90% of pre-retirement income**
Pre-retirement stage	**5–10 years before retirement**
Growth assets in retirement	**Not more than 25–30%**
Bengen rule	**4% (1994, US data)**
Indian SWR benchmark	**~3–3.5% for 30 years**
SWR survival probability	**≥95% (failure ≤5%)**
Optimal equity for SWR	**10–30%**
SWR 30% equity, 30 yrs	**3.70%**

🎯 EXAM TIP

This is the numerical heart of the exam: inflate an expense, compute a real rate, a PV corpus (Type 1, annuity due) and a PMT saving. Also expect which change lowers the required SIP (start earlier, higher return, retire later) and how to read the SWR table.

⚠️ TRAP

The SWR is the FIRST-year withdrawal % only. Later withdrawals rise with inflation regardless of corpus value, so the SWR is not a % withdrawn every year. Also use the inflation-adjusted (real) rate, not the nominal rate, when computing the corpus.



Chapter 4 · Weight: 20%

Retirement Planning Products: National Pension System

The heaviest chapter: NPS architecture (PFRDA, NPS Trust, CRAs, Pension Funds, Trustee Bank, Custodian, PoPs, ASPs, RAs), models (Government, All Citizen, Corporate, APY, Vatsalya, UPS, MSF), Tier I vs Tier II, investment choices (Active/Auto, E/C/G/A, LC funds), charges, exit and withdrawal rules, the new drawdown/RIS options, and the EEE tax treatment.

MAKE IT STICK

NPS is an unbundled restaurant. PoP is the waiter taking your order, CRA is the cashier keeping the bill (PRAN), the Pension Fund is the chef, the Trustee Bank (Axis) handles cash, the Custodian (Deutsche Bank) guards the pantry, the NPS Trust owns the kitchen on your behalf, the ASP serves dessert at exit (annuity), and PFRDA is the food-safety inspector.

1. PFRDA: interim regulator from 2003; statutory under the PFRDA Act 2013, notified 1 Feb 2014. NPS for Central Govt joiners from 1 Jan 2004 (not armed forces); All Citizen model May 2009; Corporate model 2011; APY 2015; NPS Vatsalya launched 18 Sept 2024; UPS from 1 Apr 2025.

2. PRAN is a 12-digit portable number. Three CRAs: Protean, KFin, CAMS. Ten Pension Funds; SBI, LIC and UTI run the Government default scheme. Trustee Bank: Axis Bank. Custodian: Deutsche Bank (5-year term from 1 Apr 2022). 15 ASPs.

3. Govt model: employee 10% + Govt 14% of Basic + DA. UPS: 10% employee + 10% Govt to the PRAN + about 8.5% to a pool; assured payout 50% of the average basic pay of the last 12 months for 25 or more years of service; minimum ₹10,000 a month after 10 years.

4. Eligibility: Indian citizens (resident/NRI) and OCIs aged 18–85; may continue or defer up to 85. Undischarged insolvents and persons of unsound mind are disqualified. NRIs/OCIs cannot open Tier II.

5. Tier I: minimum ₹500 per contribution, ₹1,000 a year (at least one contribution), up to 3 nominees; account frozen if the minimum is not met (unfreeze with ₹500). Tier II: ₹1,000 to open, ₹250 subsequently; no tax benefit (except the Central Govt Tier II Tax Saver: 3-year lock-in, 10–25% equity). Tier II → Tier I transfer is allowed; Tier I → Tier II is not.

6. Active choice: E capped at 75%, A at 5%; allocations must total 100% or the form is rejected. Joining after 65: maximum equity 15% (Auto) and 50% (Active). Default is Auto LC50 (Moderate).

7 Life cycle funds (equity up to age 35 → at 55+): LC25 Low 25→5%, LC50 Moderate 50→10%, LC75 High 75→15%, LC Aggressive 50% until 45 → 35%. Equity tapers from age 36 (Aggressive from 46); rebalancing happens on the birthday.

8 Switches: asset allocation/scheme up to 4 times a FY; Pension Fund twice a FY (Non-Govt) or once (Govt). MSF (from 1 Oct 2025): multiple schemes under one PRAN, high-risk variant up to 100% equity, charges capped at 0.30% of AUM, minimum vesting 15 years.

9 Charges 2026: PoP ₹200 onboarding (₹100 fully digital) + 0.20% p.a. of AUM; CRA PRAN ₹18 (e-PRAN kit) / ₹40 (physical); IMF Non-Govt 0.12% (up to ₹25,000 crore AUM) down to 0.04%; Govt 0.09% down to 0.03%; NPS Trust 0.003%; RA ₹400 onboarding + 0.02% of AUM (minimum ₹250, maximum ₹2,000 per FY).

10 Normal exit (All Citizen at 60 or after 15 years, whichever is earlier): up to 80% lump sum, at least 20% annuity. Govt sector: up to 60% lump sum, at least 40% annuity. Corpus up to ₹8 lakh: entire amount can be withdrawn. ₹8–12 lakh: up to ₹6 lakh lump sum, balance as annuity or SUR for at least 6 years. Joined after 60: up to ₹12 lakh fully withdrawable.

11 Premature exit: up to 20% lump sum, at least 80% annuity; full withdrawal if corpus up to ₹5 lakh. Death: entire corpus to the nominee (Non-Govt). Missing person: 20% interim relief to the nominee.

12 Partial withdrawal: after 3 years; up to 25% of own contributions; up to 4 times before 60 (gap of 4 years); after 60, gap of 3 years, up to age 85; for specified purposes (education, marriage, house, illness, disability, lien settlement, skilling, start-up). Tax-free.

13 Drawdown/RIS (circular 15 May 2026): RIS Steady glide path 35% equity at 60 to 10% at 75. SPR (default) = 1 ÷ (end age − current age), reset each birthday; SUR equal units = total units ÷ (years × frequency). Pension Fund switch once in 2 FYs. Annuitisation of 20%/40% stays untouched.

14 Tax (EEE): contribution deduction under s.123/Sch XV (old 80C, within ₹1.5 lakh; 10% of salary or 20% of GTI for self-employed) + extra ₹50,000 under s.124(3) (old 80CCD(1B)); employer contribution under s.124(1) (80CCD(2)): 14% for Govt, 10% for others, 14% under the new regime; aggregate employer PF+NPS+superannuation cap of ₹7.5 lakh. Exit: 60% of corpus tax-free; annuity purchase not taxed; annuity income taxable as 'Salaries'.

15 NPS Vatsalya: minor below 18 (NRI/OCI also); minimum ₹250 a year; 18–21 option window; at exit up to 80% lump sum (all if under ₹8 lakh); ₹50,000 deduction under s.124(4) within the common ₹50,000 cap.

16 Grievance: intermediary within 30 days → NPS Trust (21 days) → Ombudsman (appeal within 45 days; award within 90 days). Units credited T+2; same-day NAV if funds reach the Trustee Bank by 11 a.m.

PRAN **12-digit, portable**	Govt NPS contribution **10% employee + 14% Govt**
Active choice caps **E ≤75%, A ≤5%**	
Tier I minimum **₹500 per contribution, ₹1,000 a year**	Tier II minimum **₹1,000 opening, ₹250 subsequent**
Non-Govt normal exit **≤80% lump sum, ≥20% annuity**	Govt normal exit **≤60% lump sum, ≥40% annuity**

Premature exit
≤20% lump sum, ≥80% annuity; full if ≤₹5 lakh

Small-corpus thresholds
≤₹8 lakh full; ₹8–12 lakh → ₹6 lakh lump sum + SUR ≥6 yrs

Partial withdrawal
25% of own contributions, after 3 yrs, 4 times before 60

Tax-free lump sum
60% of corpus

Extra NPS deduction
₹50,000 (s.124(3), old 80CCD(1B))

Employer cap (PF+NPS+SAF)
₹7.5 lakh a year

Default Auto choice
LC50 Moderate

MSF charge cap
0.30% of AUM p.a.

🎯 EXAM TIP
Highest weight. Master the exit grid (Govt 60:40 vs Non-Govt 80:20; premature 20:80; ₹5/8/12 lakh thresholds), Tier I vs Tier II, LC fund equity levels, who does what (CRA vs PoP vs NPS Trust vs Trustee Bank vs Custodian), charges and the 60% tax-free rule.

⚠️ TRAP
Non-Govt subscribers may take 80% as a lump sum, but only 60% of the corpus is tax-free; the extra 20% is taxable. And the Tier II Tax Saver benefit is only for Central Govt employees, not all subscribers.



Chapter 5 · Weight: 10%

Evaluating Fund Performance and Fund Selection

How to measure what a fund earned (absolute, annualised, CAGR, XIRR, total and tax-adjusted returns) and the risk it took (standard deviation, beta, Sharpe), then judge it against a benchmark and peers, and match products to the investor's stage and risk profile.

MAKE IT STICK
Two cricketers both score 60. One faced 40 balls, the other 120. Runs alone (absolute return) mislead; strike rate (annualised/CAGR) and consistency (standard deviation) tell the real story, and the Sharpe ratio is runs per unit of risk taken.

1. Absolute return in rupees ignores the amount invested; percentage return = gain/investment × 100.
2. Annualised (simple) return = absolute % × (365/days or 12/months or 1/years); 40% over 6 years = 6.67% a year.
3. CAGR = (End/Begin)^(1/n) – 1; NAV ₹12.45 to ₹16.18 in 3 years = 9.12%. It is the accepted measure for periods over 1 year but hides year-to-year volatility.
4. XIRR handles multiple cash flows on different dates (SIPs); outflows are entered as negative.
5. Total return = income + change in value; a 9% coupon on ₹100 with the price falling to ₹98 = ₹7.
6. Standard deviation measures the volatility of returns around the mean: higher SD means more risk.

7 Beta measures systematic (market) risk relative to an index with beta 1; beta 1.1 means about 11% move for a 10% market move. Unsystematic risk can be diversified away.

8 Sharpe = (Return – Risk-free)/SD; (14 – 5)/4 = 2.25. Prefer the highest Sharpe among comparable funds.

9 Benchmark must match the portfolio: Nifty 50 for a large-cap fund, Crisil STBEX for a short-term bond fund, sovereign bond index for a gilt fund. An active fund should rise more and fall less than the benchmark.

10 Peer comparison must look at risk too; a fund may beat peers by taking much more risk.

11 Advantages of funds: expertise, diversification, low cost, access/liquidity, tax efficiency, automatic rebalancing (NPS lifecycle funds). NPS IMF band about 0.03–0.12% p.a. from 1 Apr 2026.

12 Tax-adjusted return = pre-tax × (1 – tax rate); equivalent taxable yield = tax-free yield/(1 – tax rate); 8% tax-free = 10% taxable at a 20% bracket.

13 Accumulation stage: growth; near the goal: shift to lower-risk debt; distribution: low-risk, liquid income products.

CAGR	Sharpe ratio	Market beta	Tax-equivalent yield
(End/Begin)^(1/n) – 1	**(Rp – Rf)/SD**	**1**	**Tax-free yield/(1 – t)**

Annualising factor
365/days, 12/months, 1/years

🎯 EXAM TIP
Expect quick numericals on CAGR, annualised return, Sharpe, beta moves and the tax-free vs taxable comparison, plus 'which benchmark suits which fund' and 'which risk can be diversified away'.

⚠️ TRAP
Annualised simple return (absolute × 1/n) is not CAGR. For 'compounded' or 'CAGR' use the root formula. Also, inflation is a systematic risk, not a diversifiable one.

Chapter 6 · Weight: 8%

Other Investment Products

Beyond NPS: the mandatory schemes (EPF, EPS, EDLI, gratuity, superannuation), voluntary accumulation products (VPF, PPF, NSC, POTD, RD, KVP, bonds, FDs, equity, gold, real estate, MFs) and distribution products (annuities, SCSS, POMIS, POTD, bank deposits, bonds, MFs, reverse mortgage).

MAKE IT STICK
Mrs Iyer, 62, owns her flat but her savings are thin. A reverse mortgage lets her stay put while the bank pays her monthly (capped at ₹50,000), tax-free. The loan is repaid from the sale of the house only after the last surviving borrower dies or moves out.

1. EPF: employee and employer each contribute 12% (10% in special cases) of basic + allowances; 8.33% of the employer share goes to EPS (pension from age 58) and the Central Govt adds 1.16%; EDLI 0.5% by the employer only. Interest on the employee's own contribution above ₹2.5 lakh a year (₹5 lakh if there is no employer contribution) is taxable; withdrawal before 5 years of service attracts 10% TDS.

2. Gratuity: after at least 5 years of continuous service (not needed on death or disablement); paid as a lump sum. Non-Govt exemption = least of half a month's average salary per completed year, ₹20 lakh and the actual gratuity. Central Govt gratuity ceiling ₹25 lakh from 1 Jan 2024.

3. Superannuation: one-third can be commuted tax-free; the rest buys an annuity. The employer's PF + superannuation + NPS contribution above ₹7.5 lakh a year is a taxable perquisite (from FY 2020–21).

4. VPF: up to 100% of basic; no employer match; same rate as EPF.

5. PPF: individuals only (not HUF/NRI); 15 years; ₹500 to ₹1.5 lakh a year; loan from year 3 to year 6; one withdrawal a year from year 7; premature closure after 5 years for specified needs; EEE.

6. NSC: 5 years, minimum ₹1,000, no maximum; interest compounded annually; accrued interest is taxable but deemed reinvested (eligible for deduction); premature encashment only on death, pledgee forfeiture or court order.

7. POTD 1/2/3/5 years (only the 5-year qualifies for s.123), minimum ₹1,000, up to 2 joint holders. RD: 5 years, ₹100 minimum, one 50% withdrawal after 1 year. KVP doubles in 124 months (at 7.7%), encashable after 2½ years, no tax benefit.

8. RBI Floating Rate Savings Bonds 2020: 7 years; rate = NSC rate + 0.35%, reset every 6 months; premature exit after 6/5/4 years for ages 60–70/70–80/80+.

9. Equity: IPO retail category up to ₹2 lakh; LTCG above ₹1.25 lakh taxed at 12.5%; STCG 20%. Debt MF gains (units bought from 1 Apr 2023) are taxed at slab rate.

10. Annuity: immediate vs deferred; once bought, it cannot be surrendered or changed; income taxable; level annuities lose real value. SCSS: age 60+, 5 years, extendable in blocks of 3 years, maximum ₹30 lakh, quarterly interest, closure after 1 year, s.123 benefit, interest taxable.

11. POMIS: 5 years, minimum ₹1,500, maximum ₹9 lakh single / ₹15 lakh joint, monthly interest, no tax benefit. Interest deduction for seniors up to ₹50,000 (s.153, old 80TTB); non-seniors ₹10,000 on savings account interest.

12. Reverse mortgage: age 60+ (spouse 55+), clear title, residual property life at least 20 years, primary residence; maximum tenure 20 years; monthly payout cap ₹50,000; lump sum up to 50% of the loan, capped at ₹15 lakh, for medical use; receipts tax-free; no prepayment penalty. RMLEA LTV is 60% at age 60–70 rising to 75% at 80+.

EPF contribution **12% + 12% (EPS 8.33% from employer)**	EDLI **0.5% employer only**	Gratuity eligibility **5 years continuous service**
Gratuity exemption cap (non-Govt) **₹20 lakh**	SCSS maximum **₹30 lakh; 5 yrs + 3-yr extensions**	POMIS maximum **₹9 lakh single / ₹15 lakh joint**
Reverse mortgage **60+, max 20 yrs, ₹50,000/month cap, tax-free**	KVP doubling **124 months**	Superannuation commutation **1/3 tax-free**

🎯 EXAM TIP

Classic matching: product vs stage (accumulation or distribution), limits (SCSS ₹30 lakh, POMIS ₹9/15 lakh, PPF ₹1.5 lakh), tax status (POMIS and RD have no tax benefit) and reverse mortgage eligibility and caps.

⚠️ TRAP

Only the 5-year POTD gets the s.123 (80C) deduction; the 1/2/3-year deposits do not. And a reverse mortgage cannot be taken against commercial property.



Chapter 7 · Weight: 12%

Retirement Planning Strategies

How to fix a shortfall (prevention, adjusting expectations, delaying retirement, second career, protection), how to invest and withdraw systematically (SIP, step-up, SWP), how to blend income sources, the three-bucket strategy, sequencing withdrawals for tax, and automating everything.

MAKE IT STICK

Picture three buckets at a well. Bucket 1 (3–5 years of expenses) is the drinking jug. Bucket 2 (the next 10–15 years) refills it. Bucket 3 (20 years out) sits deep in the well, earning growth. Water flows only from riskier to safer, never the other way.

1. A loan is not an option for retirement expenses. Prevention: review assumptions periodically and ramp up savings in the last 5–10 years before retirement; rework the target after every life event.
2. Delaying retirement helps twice: more years of contribution and fewer years of withdrawal. A second career can let annuity vesting be deferred to mid/late retirement.
3. Protection: keep some growth assets even in distribution (part of the corpus is needed 20–25 years later); buy health insurance with lifelong renewability.
4. Periodic investing (rupee-cost averaging) lowers the average cost in volatile markets without timing; for example ₹1,000 a month for 7 months gave an average cost of ₹14.67 against prices of ₹12–18.
5. Step-up SIP: raise savings by the same % as the salary hike (for example 10%).
6. Phased redemption (SWP) avoids exiting in one shot at a bad NAV; fewer units are redeemed when the NAV is high.

7 Income features retirees want often conflict: adequacy, security, stability, simplicity, cost, tax, flexibility, access to capital.

8 Diversified income: pension/annuity for mandatory and essential expenses (limit annuity to these as it is low-yield); POMIS/SCSS/FDs/rent for the next layer; bonds for medium-term goals; MFs for growth.

9 Bucket 1: 3–5 years of expenses plus an emergency fund in very low-risk products (cash, laddered FDs, SCSS, POMIS, short annuity). Bucket 2: 10–15 years, moderate (income funds, FMPs, bonds, gold, equity ≤20%). Bucket 3: 20+ years, growth (hybrid, large-cap, ETFs, real estate, gold).

10 Refill only from the riskier to the safer bucket; book profits above a target (say 12%).

11 Tax stages: contribution (s.123/Sch XV, old 80C, ₹1.5 lakh), earnings (PPF, NPS, tax-free bonds) and maturity (PPF, EPF, 60% of NPS).

12 Tax-equivalent yield for a 7% tax-free bond: about 7.37% (5% bracket), 8.75% (20%), 10% (30%). Use tax-free income to stay below a higher slab.

13 Rent: 30% standard deduction on net annual value after municipal taxes. Old regime basic exemption ₹3 lakh (60+) and ₹5 lakh (80+); new regime ₹4 lakh regardless of age. Health premium deduction ₹25,000 (₹50,000 for seniors).

14 Automate: SIPs, standing instructions, sweep accounts, a designated investment account, trigger-based switches, NPS Auto Choice and NPS drawdown (RIS).

Bucket 1 **3–5 years of expenses + emergency fund**	Bucket 2 **Next 10–15 years; equity ≤20%**
Bucket 3 **Needed 20+ years away; growth assets**	Refill direction **Riskier → safer only**
Tax-equivalent of 7% tax-free **7.37% / 8.75% / 10% at 5/20/30% slab**	Old-regime exemption **₹3 lakh (60+), ₹5 lakh (80+)**
New-regime exemption **₹4 lakh, any age**	

🎯 EXAM TIP
Bucket-strategy features (horizons, contents, refill direction), the benefits of SIP/SWP, which source should fund which expense, and tax-equivalent yield sums appear regularly.

⚠️ TRAP
If the stock market crashes, bucket 3 is NOT topped up from bucket 2; it is left to recover. And rupee-cost averaging does not buy at the lowest price; it lowers the average cost.

Chapter 8 · Weight: 10%

Special Situations in Retirement

Retirement rarely goes to plan: carrying debt, needing a second job, rising medical costs, protecting the spouse, estate planning (wills, nominations, gifts, joint holding, trusts, PoA), NRI

retirement issues and keeping the right documents.

MAKE IT STICK

When the late Mr Rao's MF nominee was his son but his registered will left everything to his daughter, the son collected the money only as a trustee. The will won. Nomination makes the payout easy; it does not decide who finally owns the money.

1. Track the debt-to-income ratio and aim for zero by retirement. Rank debts by cost and repay credit cards and personal loans first.
2. Carrying a home loan for tax benefits rarely pays: the principal shares the ₹1.5 lakh s.123 limit with SCSS/FDs and there is no such deduction under the new regime.
3. Do not raid NPS to repay debt: a premature exit forces 80% into an annuity.
4. If debt continues into retirement, keep life cover until it is repaid.
5. Medical planning: assess risks and heredity, take the average of the last 3–5 years' health costs, apply higher medical inflation, and keep at least 3 years of non-insured costs liquid. Waiting periods of 2–4 years apply; lifetime renewal is mandatory. Example premium for ₹5 lakh cover: about ₹10,000 at 45 vs ₹22,000 at 60.
6. Spouse: choose a joint-life annuity (NPS ASPs must offer it), joint holding/nomination on FDs, SCSS and POMIS, and a joint designated bank account.
7. Dying intestate (without a will): heirs inherit under succession laws (Hindu Succession Act 1956, Indian Succession Act 1925, Muslim personal law).
8. Will (s.2(h), Indian Succession Act): written, signed by the testator, attested by 2 witnesses; registration optional; testator, legatee, executor; probate = court-certified copy. Armed forces personnel may make an oral will under conditions. Review annually.
9. Nominee is a trustee for the legal heirs; the will prevails. Only individuals can nominate. Minors can be nominees (with a guardian).
10. Gift: voluntary, without consideration, usually irrevocable; gifts from specified relatives, on marriage or under a will are tax-exempt.
11. Trust: settlor, trustees, beneficiaries, trust deed; an irrevocable trust is protected from the settlor's bankruptcy; registration needed if it holds immovable property.
12. PoA: general or specific; must be registered if it creates an interest in immovable property.
13. NRIs: decide where to retire, watch currency effects, NRE FD interest is tax-free (NRO taxable); no small savings schemes for NRIs; TDS on MF gains.
14. Documents: keep ITRs at least 3 years (5 years if escaped income is ₹50 lakh or more), the registered sale deed (proves title), encumbrance certificate, Katha, NOC after loan closure, insurance policies and assignments, health records (easy access matters most).

Will witnesses 2	Will registration Optional (good practice)	ITR reassessment window 3 yrs; 5 yrs if escaped income ≥₹50 lakh
Medical liquid reserve At least 3 years of costs	Health cost base Average of last 3–5 years	Waiting period for diseases 2–4 years
Ownership proof Registered sale deed		

🎯 EXAM TIP

Nomination vs will, the features of a valid will, which document proves title, the debt-to-income ratio, and medical-cost planning steps are favourites.

⚠️ TRAP

A nominee is NOT the owner. Where a valid will exists it overrides the nomination, and without a will, succession law prevails. Also, the Katha certificate is not the title document; the sale deed is.

Chapter 9 · Weight: 10%

Regulations and Regulators

Who regulates what (MoF, RBI, SEBI, IRDAI, PFRDA, MCA), the PFRDA Act 2013, and the regulations an RA must know: Retirement Adviser 2016, PoP 2018, CRA 2015, NPS Trust 2015, Pension Fund 2015, Exits & Withdrawals 2015, plus nomination rules, ethics and the grievance ladder.

MAKE IT STICK

A Retirement Adviser is like a family doctor who may not take a cut from the pharmacy. They charge only the patient, never handle cash for medicines, disclose any tie-ups and keep proper case files, and PFRDA checks the files.

1. PFRDA: chairperson + 3 whole-time + 3 part-time members, 5-year tenure; subject to Central Govt policy directions; has search and seizure powers; runs the SEPF (Subscriber Education and Protection Fund).
2. PFRDA Act: withdrawals up to 25% of contributions; option of 100% in G-secs and minimum-assured-return schemes; portability; no implicit or explicit assurance except a purchased market-based guarantee; no investment outside India.
3. RA eligibility: graduate, or a professional qualification with 3 years of experience in financial advice; NISM-XVII certification; fit and proper. Exempt from registration: advocates, CAs, CSs, CMAs and actuaries giving incidental advice (but still bound by obligations).
4. RA registration valid 3 years; apply for renewal 3 months before expiry; certificate cannot be delegated or lent. Application fee ₹500 (individual) / ₹1,000 (non-individual); registration fee ₹1,000 / ₹5,000.

5 RA fees: up to ₹400 one-time onboarding (only after the PRAN is generated) + 0.02% of AUM, minimum ₹250 and maximum ₹2,000 per subscriber per FY, only under a signed agreement. Abroad: US$8 onboarding (US$2 via an overseas PoP branch) and US$1 per later service.

6 RA duties: fiduciary; remuneration only from the subscriber; no cash for contributions; disclose conflicts beforehand; arm's length from other activities; KYC/AML; risk profiling; records (KYC, signed risk profile, register of advice and fees); non-individual appoints a compliance officer (changes intimated within 7 days); annual compliance certificate; CA audit above the fee limit; indemnify for established fraud or negligence; unlimited PoP tie-ups.

7 PoP: regulated by a financial regulator; company, bank or NBFC for NPS; net worth ₹2 crore including paid-up capital of ₹50 lakh; 2-year profitability track record; at least one branch with CRA connectivity. Pension Agents (bank correspondents, insurance agents, AMFI MFDs) cannot process exits or take cash.

8 CRA: body corporate; 5 years of record-keeping experience; more than 5 lakh accounts a year over the last 3 years; net worth ₹100 crore; profit after tax in 3 of the last 5 years; 100 staff (50 in operations/technology); cannot hold 20% or more in any intermediary; application fee ₹10 lakh.

9 NPS Trust: 5 to 11 trustees; 3-year term extendable by up to 2 years; trustees retire at 70; the CEO is not a trustee; intermediaries and their directors cannot be trustees.

10 Pension Fund: net worth ₹50 crore at all times; sponsor needs 5 years of fund management experience, ₹50 crore net worth for 5 years, ₹25 crore paid-up capital, profit in 3 of 5 years; at least 50% independent directors; unit face value ₹10; daily NAV to 4 decimals by 9 p.m.; scrip-wise portfolio monthly within 10 days.

11 ASP: life insurer selling annuities for 3 years; net worth ₹250 crore; no charges beyond the IRDAI-approved premium; Govt annuities paid monthly only.

12 NPS nomination: must favour family if the subscriber has a family; a pre-marriage nomination becomes invalid on marriage; a woman may exclude her husband by written notice.

13 Grievance: acknowledge within 3 days; forward wrongly addressed complaints within 3 days; resolve within 30 days; escalate to the NPS Trust; Ombudsman if unresolved after 21 days (appeal within 45 days); award within 90 days; correction request within 15 days; review by PFRDA within 30 days; implement within 30 days. Closed if no response for 45 days. Pension Sahayak portal: 22 languages.

14 Ethics beyond rules: integrity, objectivity, competence, professionalism, confidentiality, diligence.

RA registration validity
3 years; renew 3 months before expiry

RA onboarding fee cap
₹400

RA advisory fee
0.02% AUM, min ₹250, max ₹2,000 per FY

Compliance officer change
Inform PFRDA within 7 days

PoP net worth
₹2 crore (paid-up ₹50 lakh)

CRA net worth
₹100 crore

Pension Fund net worth
₹50 crore at all times

ASP net worth
₹250 crore

NPS Trust board
5 to 11 trustees; retire at 70

Ombudsman award
Within 90 days of appeal

🎯 **EXAM TIP**
Expect RA rules (fees, who is exempt, who pays the RA, cash prohibition, records, validity), the net-worth table across intermediaries, and the grievance timeline (3/30/21/45/90 days).

⚠️ **TRAP**
An RA may NOT receive commission from a PoP, Pension Fund or ASP, only from the subscriber advised. And the onboarding fee is payable only after the PRAN is generated, never before.

🧮 Formulas

Future value of a lump sum

```
FV = PV × (1 + r)^n
```

₹10 lakh at 12% for 20 years = 10,00,000 × 1.12^20 ≈ ₹96.46 lakh.

Present value

```
PV = FV / (1 + r)^n
```

₹25,526 needed in 5 years at 8% → PV = 25,526 / 1.08^5 ≈ ₹17,372.

Inflated expense at retirement

```
Expense today × (1 + inflation)^years
```

₹40,000 a month, 25 years, 6% → 40,000 × 1.06^25 ≈ ₹1,71,675.

Income replacement method

```
Income at retirement = Current income × (1 + g)^n; Income needed = that × replacement ratio
```

₹10 lakh, 10% growth, 25 years, 75% → 1,08,34,706 × 75% ≈ ₹81.26 lakh a year.

Real (inflation-adjusted) return

```
RR = (1 + NR)/(1 + IR) - 1 (approx. NR - IR)
```

8% return, 6% inflation → 1.08/1.06 – 1 = 1.89% (approx. 2%).

Retirement corpus (deterministic)

```
Excel PV(real rate/12, months in retirement, -monthly income at retirement, 0, 1)
```

₹1,50,215 a month for 240 months at 1.89%/12, Type 1 → about ₹3 crore.

Monthly saving required

```
Excel PMT(r/12, months to retirement, 0, -corpus, type)
```

₹1 crore in 25 years at 12% (end of month) → PMT ≈ ₹5,322.

Future value of SIP

```
Excel FV(r/12, months, -SIP, 0, type)
```

₹10,000 a month for 20 years at 12% (Type 0) ≈ ₹98.9 lakh.

Corpus using SWR

```
Corpus = Annual income at retirement ÷ SWR
```

₹25,75,128 a year, 30% equity, 30 years (SWR 3.70%) → ₹6.96 crore.

NPS Systematic Payout Rate

```
SPR = 1 ÷ (Drawdown end age - current age); payout = SPR/frequency × market value
```

Age 60, end age 85 → SPR 4%; on ₹50 lakh monthly payout = 4%/12 × 50 lakh ≈ ₹16,667.

NPS SUR equal units

```
Units per period = Total units ÷ (drawdown years × payouts per year)
```

8,00,000 units over 25 years monthly → 8,00,000/300 = 2,666.67 units a month.

NAV (NPS scheme)

```
(Market value of securities + current assets + accrued income - accrued expenses - current liabilities) / units outstanding
```

₹5,000 at NAV ₹14.3472 buys 348.500 units.

Percentage (absolute) return

```
Gain / Investment × 100
```

₹500 interest on ₹5,000 = 10%.

Annualised simple return

```
Absolute % × (365/days or 12/months or 1/years)
```

40% over 6 years → 6.67% a year.

CAGR

```
(End value / Begin value)^(1/n) - 1
```

NAV ₹12.45 to ₹16.18 in 3 years → 9.12%.

Total return

```
Periodic income + (End price - Begin price)
```

MF NAV ₹12 → ₹12.50 plus ₹0.80 dividend = ₹1.30.

Sharpe ratio

```
(Portfolio return - Risk-free rate) / Standard deviation
```

(14% – 5%)/4% = 2.25.

Beta effect

```
Expected move = Beta × market move
```

Beta 1.1, market +10% → about +11%.

Post-tax return

```
Pre-tax return × (1 - tax rate)
```

9% FD at 20% tax → 7.2%.

Tax-equivalent (pre-tax) yield

```
Tax-free yield / (1 - tax rate)
```

7% tax-free at 30% slab → 10%.

Gratuity exemption (non-Govt)

```
Least of: ½ month's average salary × completed years; ₹20 lakh; actual gratuity
```

Average salary ₹60,000, 25 years, gratuity ₹9 lakh → least of ₹7.5 lakh, ₹20 lakh, ₹9 lakh = ₹7.5 lakh.

🔢 Numbers to remember

100 MCQs × 1 mark, 2 hours, pass 60, −0.25 per wrong Exam	**10% employee + 14% Govt (Basic + DA)** Govt NPS contribution	**10% + 10% + 8.5% pool; 50% of last-12-month average basic after 25 yrs; min ₹10,000 after 10 yrs** UPS
18-85 (continue or defer up to 85) NPS entry/exit age	**₹500 per contribution; ₹1,000 per year** Tier I minimum	**₹1,000 opening; ₹250 subsequent** Tier II minimum
Equity 75%, Alternatives 5% Active choice caps	**LC25 5%, LC50 10%, LC75 15%, Aggressive 35%** LC terminal equity (55+)	**4 per FY; Pension Fund 2 per FY (Govt 1)** Allocation changes
≤80% lump sum / ≥20% annuity Non-Govt normal exit	**≤60% lump sum / ≥40% annuity** Govt normal exit	**≤20% lump sum / ≥80% annuity; full if ≤₹5 lakh** Premature exit
≤₹8 lakh full; ₹8-12 lakh → ₹6 lakh + annuity/SUR ≥6 yrs Corpus thresholds	**25% of own contribution, after 3 yrs, max 4 before 60** Partial withdrawal	**60% of corpus** Tax-free NPS lump sum
₹50,000 (s.124(3) / old 80CCD(1B)) Extra NPS deduction	**₹1.5 lakh** s.123 / old 80C limit	**14% Govt, 10% others (14% under new regime)** Employer NPS deduction
₹7.5 lakh a year Employer PF+NPS+SAF cap	**₹200 onboarding (₹100 digital) + 0.20% p.a. AUM** PoP charges (2026)	**₹400 onboarding + 0.02% AUM (₹250-₹2,000 per FY)** RA fees
0.30% of AUM p.a. MSF charge cap	**T+2; same-day NAV if at Trustee Bank by 11 a.m.** Units credit	**Bengen 4%; India ~3-3.5% for 30 yrs** SWR
70-90% Income replacement	**Age 18-40; ₹1,000-5,000 pension; ₹210/month at 18 for ₹5,000** APY	**12% + 12%; EPS 8.33% + 1.16% Govt; EDLI 0.5%** EPF/EPS/EDLI
5 yrs service; exemption cap ₹20 lakh (Central Govt ceiling ₹25 lakh) Gratuity	**15 yrs; ₹500-₹1.5 lakh; loan yrs 3-6; withdrawal from yr 7** PPF	**60+; ₹30 lakh max; 5 yrs + 3-yr blocks** SCSS

₹1,500 min; ₹9 lakh single / ₹15 lakh joint POMIS	**60+ (spouse 55+); 20 yrs max; ₹50,000/month; lump sum ≤50%, ≤₹15 lakh** Reverse mortgage	**₹5 lakh per depositor per bank** DICGC
B1 3-5 yrs; B2 10-15 yrs (equity ≤20%); B3 20+ yrs Bucket strategy	**Ack 3 days; resolve 30; NPS Trust 21; Ombudsman appeal 45; award 90** Grievance timeline	**PoP ₹2 cr; PF ₹50 cr; CRA ₹100 cr; ASP ₹250 cr** Net worth

📖 Glossary

Defined Benefit (DB)	Pension known in advance (usually linked to last salary and service); the employer bears longevity and investment risk.
Defined Contribution (DC)	Contribution is fixed; the benefit depends on the corpus built; the employee bears the risks.
Longevity risk	Risk of outliving one's retirement savings.
Sequence-of-returns risk	Damage caused when poor returns come early in retirement while withdrawals are being made.
Safe Withdrawal Rate (SWR)	Maximum first-year withdrawal % of the corpus (then inflation-indexed) that survives the horizon with ≥95% probability.
Income replacement ratio	Retirement income needed as a % of pre-retirement income (usually 70–90%).
PRAN	Permanent Retirement Account Number: 12-digit unique, portable NPS account number.
Point of Presence (PoP)	First touch-point that registers subscribers, collects contributions and processes requests.
Central Recordkeeping Agency (CRA)	Keeps NPS records, issues PRAN, unitises contributions and processes exits (Protean, KFin, CAMS).
NPS Trust	Trust (PFRDA is settlor) that holds NPS assets for subscribers and monitors intermediaries.
Trustee Bank	Bank (Axis Bank) that handles NPS fund flows on behalf of the NPS Trust.
Annuity Service Provider (ASP)	IRDAI-regulated life insurer empanelled by PFRDA to provide annuities at NPS exit.
Active choice	Subscriber decides the E/C/G/A mix (E ≤75%, A ≤5%).
Auto choice	Age-based life-cycle fund (LC25/50/75/Aggressive) that de-risks automatically on each birthday.
Multiple Scheme Framework (MSF)	Since 1 Oct 2025, Pension Funds may offer branded schemes; several under one PRAN; up to 100% equity in high-risk variants.
Retirement Income Scheme (RIS)	NPS decumulation life-cycle scheme for drawdown payouts (RIS Steady: 35% → 10% equity).
Systematic Payout Rate (SPR)	Default NPS drawdown: 1/(end age – current age) of the drawdown corpus each year, reset every birthday.
Systematic Unit Redemption (SUR)	Redeeming an equal number of units each period over the chosen drawdown period (minimum 6 years).
Annuity	Contract where a lump sum buys a guaranteed periodic income for life or a term.
Deferred annuity	Annuity whose payments start at a later vesting age.

Commutation	Taking part of a pension corpus as a lump sum (one-third in superannuation).
Reverse mortgage	Loan against a senior's self-occupied home paid out periodically; repaid from the sale after death or move-out.
Strategic Asset Allocation	Long-term, goal-based mix rebalanced back to target weights.
Tactical Asset Allocation	Short-term tilts based on expected asset-class performance.
Rupee-cost averaging	Investing fixed amounts periodically so more units are bought when prices are low.
Bucket strategy	Splitting the retirement corpus by when money is needed: short, medium and long-term buckets.
Sharpe ratio	Excess return over the risk-free rate per unit of standard deviation.
Beta	Sensitivity of an investment to market (systematic) movements; market = 1.
Intestate	Dying without a valid will; assets pass under succession law.
Probate	Copy of a will certified under a court's seal, proving the will.
Nominee	Person who receives assets on death as a trustee for the legal heirs.
Fiduciary	Duty to act in the client's best interest; RAs act in a fiduciary capacity.
EEE	Exempt at contribution, earnings and withdrawal (e.g., PPF; NPS within limits).

⚡ Quick revision: the night before

1. Exam: 100 MCQs, 2 hours, pass 60, −25% per wrong answer; Excel/LibreOffice available.
2. DC moves longevity and investment risk to the employee; DB keeps it with the employer.
3. Real return = (1+n)/(1+i) − 1; 10%/5% gives 4.76%.
4. Retirement cannot be funded by a loan, so it gets top priority.
5. Income replacement 70–90%; the expense method lists actual post-retirement expenses.
6. Corpus = PV of the inflated income at the real rate, Type 1 (beginning of month).
7. SWR is a first-year % only; Indian ~3–3.5%; best SWR at 10–30% equity.
8. Deterministic method ignores sequence risk; the 1994 case ran out 7 years 5 months early.
9. Pre-retirement = last 5–10 years: de-risk, clear debt, buy health cover.
10. In retirement keep growth assets at no more than 25–30%.
11. PFRDA statutory from 1 Feb 2014 under the PFRDA Act 2013.
12. Govt NPS: 10% + 14%; UPS: 10% + 10% + 8.5% pool, 50% assured payout after 25 years.
13. PRAN is 12 digits; CRAs: Protean, KFin, CAMS; Trustee Bank: Axis; Custodian: Deutsche Bank.
14. Tier I: ₹500 per contribution, ₹1,000 a year; Tier II: ₹1,000 then ₹250; no Tier II for NRI/OCI.
15. Active: E ≤75%, A ≤5%; default LC50; joined after 65 → 15% Auto / 50% Active equity cap.
16. Allocation changes 4 times a FY; Pension Fund twice (Non-Govt) / once (Govt).
17. Normal exit: Non-Govt 80:20, Govt 60:40; premature 20:80.
18. Thresholds: ≤₹8 lakh full withdrawal; ₹8–12 lakh → ₹6 lakh lump sum; premature ≤₹5 lakh full.
19. Partial withdrawal: 25% of own contributions, after 3 years, 4 times before 60 with a 4-year gap.
20. Only 60% of the NPS corpus is tax-free; annuity income is taxed as 'Salaries'.
21. Extra ₹50,000 NPS deduction (old 80CCD(1B)) is old regime only; employer 80CCD(2) is allowed in the new regime too (14%).
22. SPR = 1/(85 − age); SUR = units ÷ (years × frequency).
23. RA fee: ₹400 onboarding + 0.02% AUM (₹250–₹2,000 per FY); paid only by the subscriber; no cash.
24. RA registration valid 3 years; renew 3 months before; compliance officer change in 7 days.
25. Grievance: 3-day ack, 30-day resolution, NPS Trust 21 days, Ombudsman award in 90 days.
26. EPF 12% + 12%; EPS 8.33% (+1.16% Govt); EDLI 0.5% employer only.
27. Gratuity after 5 years; exemption least of ½ month × years, ₹20 lakh, actual.
28. SCSS 60+, ₹30 lakh max; POMIS ₹9/15 lakh; no tax benefit on POMIS or RD.
29. PPF: 15 years, ₹1.5 lakh max, loan years 3–6, withdrawal from year 7; HUF/NRI not allowed.
30. Reverse mortgage: 60+, 20 years max, ₹50,000 a month cap, tax-free, no commercial property.
31. Bucket 1: 3–5 years; Bucket 2: 10–15 years (equity ≤20%); Bucket 3: 20+ years; refill risky → safe.
32. Tax-free 7% equals about 7.37%/8.75%/10% taxable at 5/20/30% slabs.
33. Nominee is a trustee; a will overrides nomination; a will needs 2 witnesses; registration is optional.
34. Sale deed proves title; keep ITRs 3 years (5 years if escaped income ≥₹50 lakh).
35. Sharpe = (R − Rf)/SD; beta 1.2 with market +10% gives about +12%.
36. Net worth: PoP ₹2 crore, Pension Fund ₹50 crore, CRA ₹100 crore, ASP ₹250 crore.

🗓️ 21-day study plan (2 h/day)

Days 1–3: Ch 1–2 foundations (quick, given your NISM V-A background)

- Read Ch 1 notes; practise real-return, FV and PV in Excel
- Skim Ch 2 products; build a one-page limits table (DICGC, PPF, APY, REIT, SIF)
- Do 10 questions from Mock 1

Days 4–7: Ch 3 retirement planning maths

- Rebuild the Rani example end-to-end in Excel (inflate, real rate, PV Type 1, PMT)
- Learn the SWR table rows for 0–30% equity and do 3 corpus-by-SWR sums
- Finish Mock 1; review every wrong answer

Days 8–12: Ch 4 NPS (20% weight)

- Draw the NPS architecture and the exit grid from memory
- Memorise LC fund equity levels, Tier I vs II minimums, charges and tax
- Do Mocks 2 and 3

Days 13–15: Ch 5–6 fund evaluation and other products

- Practise CAGR, Sharpe, beta and tax-equivalent yield
- Make a flashcard set for EPF/EPS/gratuity/SCSS/POMIS/reverse mortgage
- Do Mock 4

Days 16–18: Ch 7–9 strategies, special situations, regulations

- Bucket strategy, SIP/SWP, tax sequencing
- Will vs nomination, document list
- RA regulations, net-worth table, grievance timeline; do Mock 5

Days 19–21: Full simulations and revision

- Take Mocks 6 and 7 under exam timing
- Run the 100-question simulator once
- Read quickRevision and numbersToRemember the night before

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.